# Practice workbook · Revenue and profit: meaning and how to raise them

Meaning of revenue and profit, why profit is important, and what drives revenue, profit and margins.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-16

# 1. Question 2 · part d · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part d only.

**2** (a) State **one** way *TBTS* can measure its success as a business.

**(1)**

(b) State **one** reason why *TBTS* might segment its market.

**(1)**

(c) Explain **one** benefit to a business of having a flat organisational structure.

**(3)**

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# 1. Question 2 · part d · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part d only.

(d) Explain **one** method a small business might use to increase its profit.

**(3)**

(e) Explain **one** benefit to a business of using the Boston Matrix.

**(3)**

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## 1. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 2. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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**3** (a) Define the term **exporter**.

**(1)**

(b) Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.

**(2)**

The cost of manufacturing a *Samsung* laptop is 520 000 KRW (South Korean won). The mark-up is 25% on the manufacturing costs.

(c) Calculate the selling price of the laptop. You are advised to show your workings.

**(2)**

.....KRW

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## 2. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse why profit is important to *Samsung*.

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## 2. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

*Samsung* has invested $17 million to build a factory in Texas, USA. It plans to introduce lean production in this new factory to minimise its costs.

It is considering the following two options:

**Option 1:** Just in time (JIT)

**Option 2:** Kaizen.

(e) Justify which **one** of these two options *Samsung* should choose to minimise its costs.

**(9)**

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## 2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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# 3. Question 3 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

**3** *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

*Backyard Shoez*'s monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

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## 3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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# 4. Question 3 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

**3** The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

| Year | US$ (millions) |
|---|---|
| 2011 | 18 441 |
| 2013 | 28 508 |
| 2015 | 39 737 |
| 2017 | 42 839 |

**Figure 2**

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

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## 4. Question 3 · part a · 1 mark · Working and answer

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## 5. Question 1 · part c · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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**1** *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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## 5. Question 1 · part c · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

**Figure 1** shows the cash flow of a business for a month.

| | (£) |
|---|---|
| Opening balance | 1 020 000 |
| Cash inflow | 360 000 |
| Cash outflow | 400 000 |

**Figure 1**

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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## 5. Question 1 · part c · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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*Turn over* ▶

## 5. Question 1 · part c · 1 mark · Working and answer

Working and answer

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# 6. Question 1 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

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**1** *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

*NOF* supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

*NOF* is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

**(1)**

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

**(1)**

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

**(1)**

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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## 6. Question 1 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

*NOF* imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

*NOF* buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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## 6. Question 1 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

(c) Define the term **non-current liabilities**.

**(1)**

(d) State **one** reason why *NOF* segments its target market by income.

**(1)**

**Figure 1** is an extract from *NOF*'s statement of comprehensive income.

| | £000s |
|---|---|
| Revenue | 160 |
| Cost of sales | 70 |
| Gross profit | 90 |
| Other operating expenses | 10 |

**Figure 1**

(e) Calculate the operating profit margin. You are advised to show your working.

**(2)**

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## 6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 7. Question 3 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

**3** *Huawei* constantly has to introduce new products to the market to keep up to date with its competitors. If it does not do this then there is the possibility that other businesses will succeed where *Huawei* will not.

(a) Define the term **revenue**.

**(1)**

(b) Outline **one** reason why *Huawei* would use robotics in the production of its products.

**(2)**

In 2018 *Huawei* took out a one-year loan for 69 941 000 000 Renminbi (CNY) from a bank. The bank charged interest of 4.5% on the loan.

(c) Calculate the interest *Huawei* would pay. You are advised to show your working.

**(2)**

..... CNY

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## 7. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 8. Question 1 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

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**1** *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

*AWG*'s increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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## 8. Question 1 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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## 8. Question 1 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

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The currency of Iceland is the krona (ISK).

*AWG*'s weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

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(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

## 8. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 9. Question 1 · part a.iii · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

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**1** *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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## 9. Question 1 · part a.iii · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

*Café Pinch* sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

*Café Pinch* wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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## 9. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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## 10. Question 1 · part c · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part c only.

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**1** *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

*TUI* has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

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## 10. Question 1 · part c · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part c only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

| | |
|---|---|
| Price per item | €27 |
| Variable costs per item | €12 |
| Fixed costs per month | €600 |

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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## 10. Question 1 · part c · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part c only.

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A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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## 10. Question 1 · part c · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part c only.

(b) Define the term **franchise**.

(1)

(c) Define the term **profit**.

(1)

(d) State **one** reason why *TUI* pays its employees above the minimum wage.

(1)

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## 10. Question 1 · part c · 1 mark · Working and answer

Working and answer

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## 11. Question 3 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

**3** Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

| | Bakery (000s MYR) | *L.café* (000s MYR) | *L.bistro* (000s MYR) |
|---|---|---|---|
| Revenue | 149 | 75 | 65 |
| Cost of sales | 83 | 51 | 33 |
| Gross profit | 66 | 24 | 32 |
| Gross profit margin | 44.3% | | 49.2% |

**Figure 1**

(a) Define the term **current liabilities**.

**(1)**

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

**(2)**

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## 11. Question 3 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

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(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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## 11. Question 3 · part b · 2 marks · Working and answer

Working and answer

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## 12. Question 1 · part f · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

**1** *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

**(1)**

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

**(1)**

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

**(1)**

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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# 12. Question 1 · part f · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

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(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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## 12. Question 1 · part f · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

| | Ks |
|---|---|
| Revenue | 570 000 |
| Cost of goods sold | 67 500 |
| Direct labour | 2 000 |
| Total cost of sales | 69 500 |
| Gross profit | 500 500 |

**Figure 1**

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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## 12. Question 1 · part f · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

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(f) Explain **one** way a business could increase its **gross profit margin**.

**(3)**

(g) Analyse the importance to *Backyard Shoez* of satisfying customer needs.

**(6)**

**(Total for Question 1 = 20 marks)**

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## 12. Question 1 · part f · 3 marks · Working and answer

Working and answer

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## 13. Question 1 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

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**1** *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

*Loaf* operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

*Loaf* is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

**(1)**

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

**(1)**

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

**(1)**

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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## 13. Question 1 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

**Figure 1** shows the product life cycle diagram.

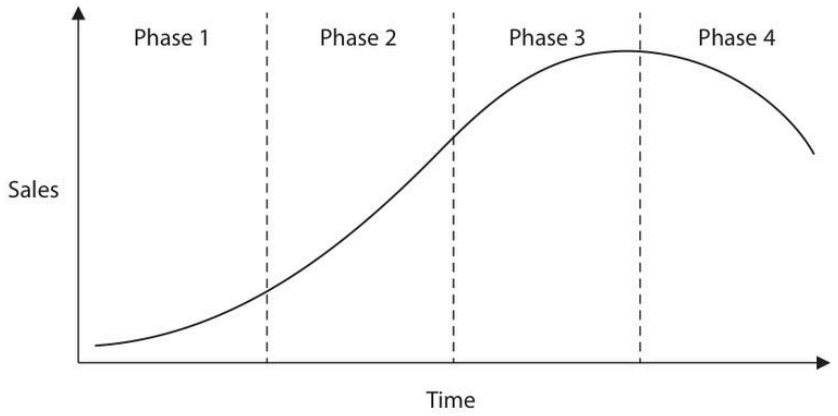



**Figure 1**

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

*Loaf* charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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## 13. Question 1 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

*Loaf* is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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## 13. Question 1 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Tom Baker is looking to increase his profits so *Loaf* can support more local projects.
The revenue from his pop-up events in 2016 was £23 546. In 2017 this increased by 3%.

(e) Calculate the revenue for 2017. You are advised to show your working.

**(2)**

£.....

(f) Explain **one** method a small business might use to increase its profit.

**(3)**

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## 13. Question 1 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Analyse the importance of environmental factors for *Loaf*.

(6)

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**(Total for Question 1 = 20 marks)**

## 13. Question 1 · part f · 3 marks · Working and answer

Working and answer

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## 14. Question 2 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**2** (a) State **one** financial method of motivation *CCT* could use with its employees.

**(1)**

(b) State **one** benefit to *CCT* of satisfying customer needs.

**(1)**

(c) Explain **one** way a business could increase its profit.

**(3)**

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## 14. Question 2 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** way that the introduction of tariffs might affect a business importing goods.

(3)

(e) Explain **one** reason why quality control is important to a business.

(3)

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## 14. Question 2 · part c · 3 marks · Working and answer

Working and answer

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